
Why Do Firms Exist?

Stephen Weymouth

Dean's Professor

GEORGETOWN
UNIVERSITY

A valuable stone changes hands before payment



[Rough Diamond](#) · Wikimedia Commons, CC0.

Bernstein's case, 1992

A buyer takes the diamond today and promises to pay later.

What makes that promise credible?

| Today: how firms govern relationships. Wednesday: which activities they own across borders.

A Brief Writing Exercise

YOUR IB VOICE

YOUR DECISION

You are a diamond dealer considering a sale on 60-day credit. What makes the buyer's promise credible? Defend your explanation with two details from Bernstein. Identify one change that would make you demand cash.

10 minutes • Individual • Notes permitted

Keep your response. You will revise your explanation at the end of class.

Which explanation carries the most weight?

- **Personal trust:** the parties know one another.
- **Future business:** cheating puts later income at risk.
- **Institutional enforcement:** records and dispute procedures make sanctions credible.

What evidence would help us distinguish these explanations?

Governing the Diamond Trade, 1992

Specialists add value at different stages



Andere Andre, [Diamond Polisher](#), 2002 · Public domain.

The production chain

Rough dealer



Cutter and polisher



Wholesaler and retailer

Specialization creates gains from trade and relationships that need governing.

Trade credit finances the next stage

A TYPICAL CREDIT SALE IN BERNSTEIN'S ACCOUNT



The seller's money is tied up while the buyer creates value.

Payment and delivery occur at different times, creating a contract-enforcement problem.

The bourse makes information and partners easier to find



ChrisRuvolo, [Diamond District](#), 2007 · CC BY-SA 4.0.

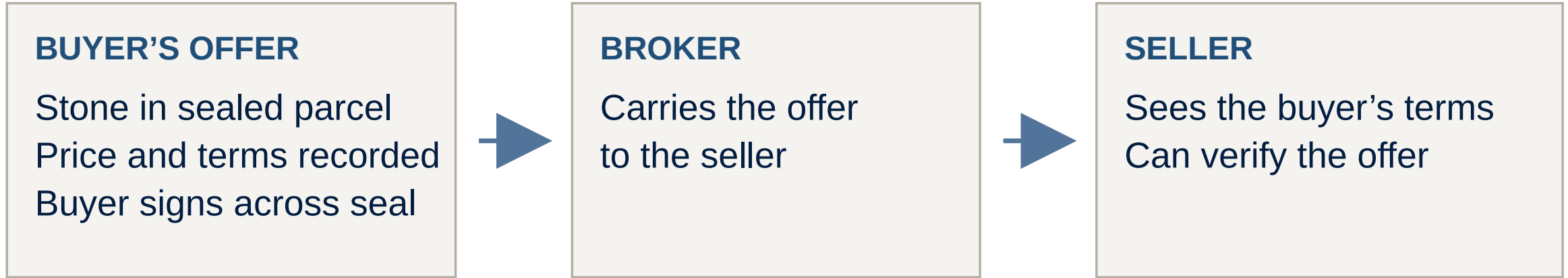
New York Diamond Dealers Club

Membership screens entrants.
Dealers exchange reputation information.

Brokers connect buyers and sellers.

Transaction costs include finding partners, assessing quality, negotiating, and enforcing agreements.

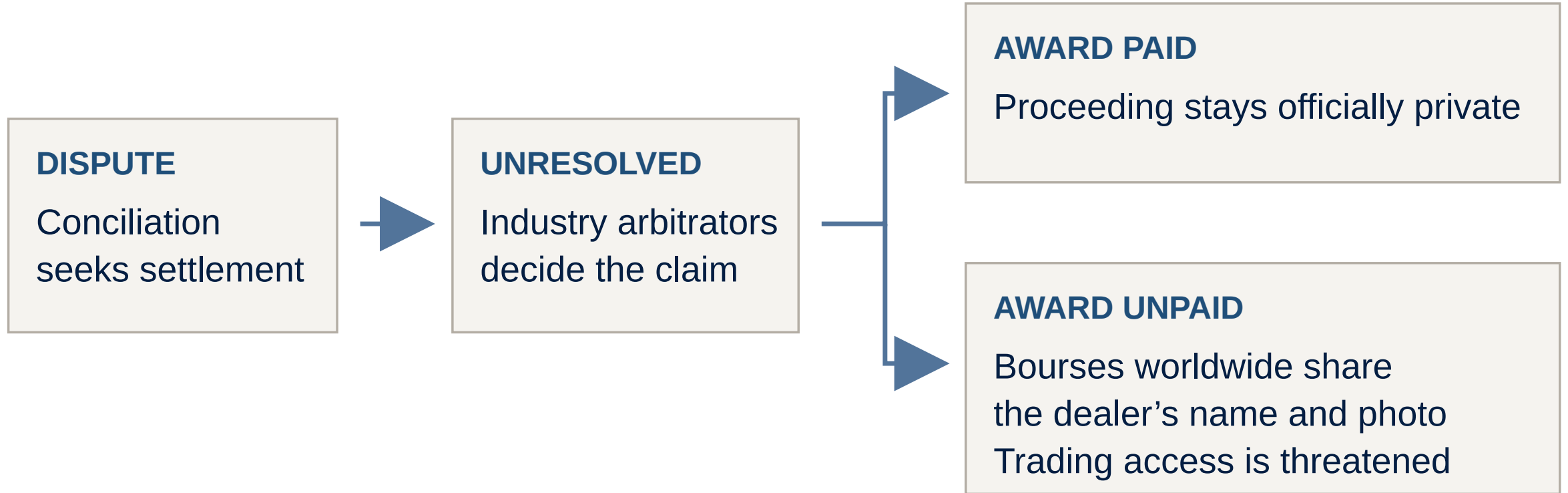
Written records support informal agreements



The record makes it harder for a broker to misreport the offered price.

Private ordering: participants create rules and institutions to govern their own trade.

Arbitration links a dispute to a credible sanction



■ The prospect of losing trading access gives an arbitration award force.

Private ordering operates within a legal environment

Club institutions

Trade customs guide decisions.

Reputation supports payment.

Members face club discipline.

Public legal framework

Law recognizes the arbitration agreement.

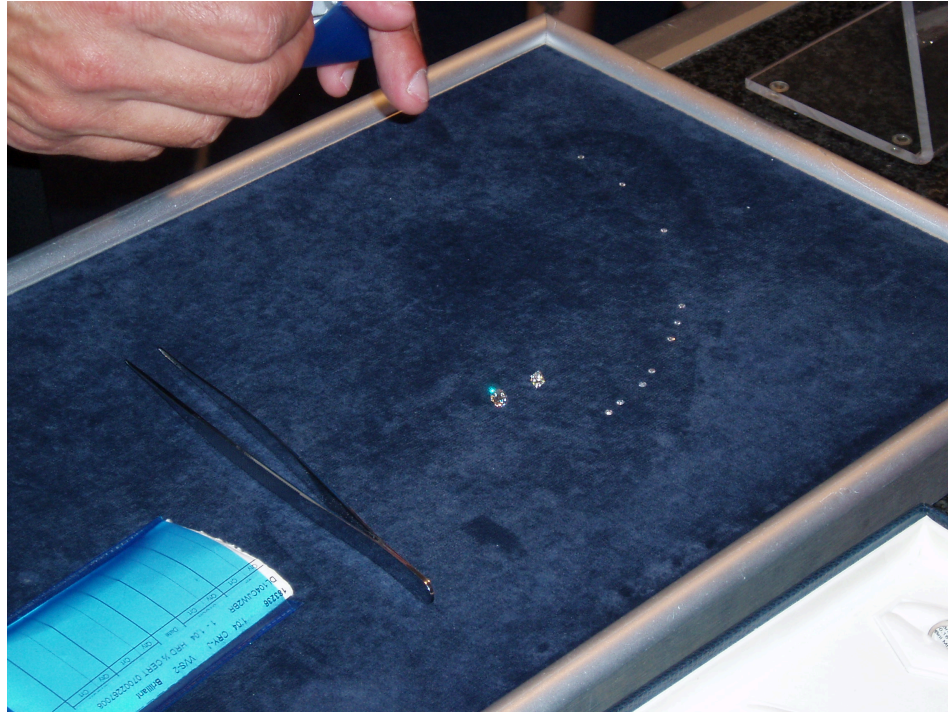
An award can be confirmed in court.

Courts retain limited procedural review.

The Diamond Dealers Club and New York law in Bernstein's 1992 account.

Private enforcement and public law can reinforce one another.

Secrecy protects relationships and can limit entry



Malis, [Diamonds at Coster](#), 2007 · Public domain.

Benefits to insiders

Contacts stay private. Disputes can be resolved quickly.

Costs and limits

Outsiders have less information. Arbitration can be unpredictable.

A system that works for members can also create barriers for new competitors.

Choosing the Boundary of the Firm

Coase asks why coordination moves inside a firm



University of Chicago Law School, [Ronald Coase](#), 2008 · Reuse permitted with attribution.

The Nature of the Firm, 1937

Buying from a supplier requires a contract.

Inside a firm, managers direct activities within agreed limits.

Firm boundaries depend on the relative costs of using markets and managing internally.

The purchase price leaves out coordination costs

Cost for the same component	Outside supplier	Internal unit
Purchase or production	\$80	\$88
Contracting or administration	\$12	\$9
Expected disruption loss	\$15	\$5
Total	\$107	\$102

Illustrative dollars per unit. Classroom assumptions, not estimates from the reading.

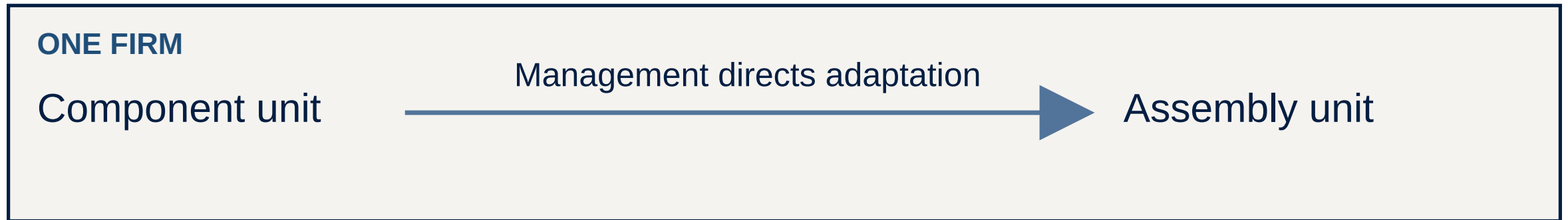
Compare total expected costs for the same quality and output.

Ownership changes who can direct adaptation

CONTRACTING BETWEEN FIRMS



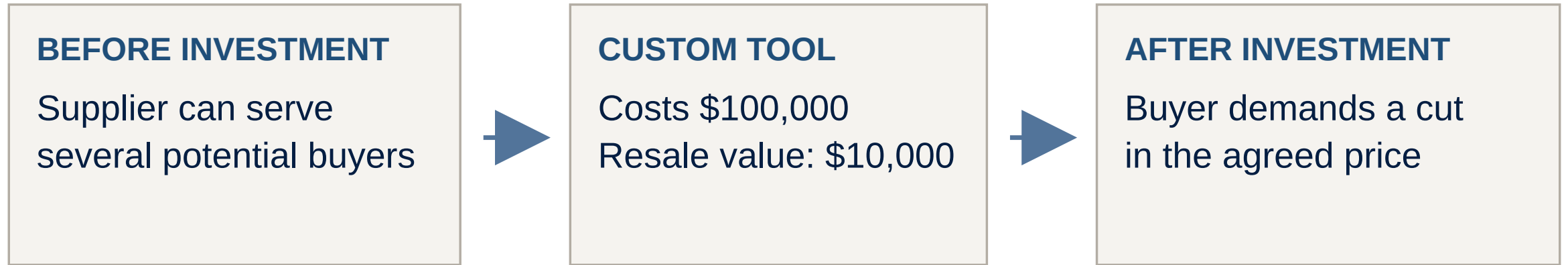
INTEGRATION



Incomplete contracts leave some future adaptations to be decided later.

A specialized investment can weaken an outside option

ILLUSTRATIVE TOOLING INVESTMENT



Anticipating this bargaining problem can discourage the investment.

Asset specificity creates dependence. Hold-up is the attempt to exploit that dependence after investment.

Integration brings authority and administrative costs

What ownership can help

Coordinate frequent changes.

Reduce bargaining between units.

Protect a dedicated investment.

What ownership requires

Supervise employees.

Evaluate internal performance.

Manage bureaucracy.

■ Bring an activity inside when the coordination gains justify the added costs.

Firms can choose among several governance arrangements

Arrangement	How coordination works	Main vulnerability
Market contract	Price, specifications, legal remedies	Costly verification or renegotiation
Continuing relationship or association	Shared rules, arbitration, reputation	Weak sanctions when future access matters little
Integration	Common ownership and management	Internal incentives and administration

■ The diamond bourse helps independent firms trade through shared institutions.

Govern a Relationship in Your Industry

Choose how to govern one business relationship

1. **Select:** name a firm, a partner, and one activity in your industry.
2. **Diagnose:** identify the main coordination or enforcement problem.
3. **Recommend:** choose contracting, a continuing relationship with safeguards, or ownership.
4. **Defend:** name one safeguard and one cost of your choice.

10 minutes · Existing industry teams · No additional research

■ Produce a four-row note: relationship → problem → arrangement → safeguard and cost.

The relationship becomes a one-time deal

Assume you cannot verify the partner's past conduct, and you expect no future business together.

Reconsider your recommendation. What would now make the commitment credible, and what would that protection cost?

4 minutes · Same teams · Add two sentences to your note

Compare what makes each recommendation work

Relationship	Main hazard	Arrangement	What changed?
Team 1			
Team 2			
Team 3			

3 one-minute reports, followed by 4 minutes of discussion

■ Explain which safeguard still works and what additional protection you need.

Reputation needs information and valuable future access

Conditions supporting private enforcement

Conduct can be observed.

Information reaches other traders.

Future access is worth protecting.

When those conditions weaken

Verify quality independently.

Use payment protections.

Compare formal remedies and ownership.

■ The effectiveness of a sanction depends on what the counterparty stands to lose.

Governance affects how much specialization is feasible

Reliable enforcement makes outside exchange more attractive.

Costly adaptation can make internal coordination more attractive.

■ Firm boundaries change as the costs and capabilities of these arrangements change.

What makes the buyer's promise credible, and when would you change the arrangement?

Revise your explanation using one institution from Bernstein and one concept from today. State a condition under which the relationship would need a different safeguard.

3 minutes · Individual · Keep both versions

Which activities should a multinational firm own, and which can it coordinate through suppliers?

McGee's Apple case adds cross-border production, learning, and dependence to today's ownership question.